

Improving engagement & retention

Zomato food delivery · Tier-1 cities

Funnel analysis · Cohort & retention analysis · North Star & ladder metrics

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Product management case study — role: PM, Zomato food delivery experience (Tier-1)

Growth = frequency, not acquisition

Tier-1 market context — grounded in public data (full sources in appendix)

\$45B

India online food delivery, 2024 —
projected \$200B+ by 2030

70–80%

of food-delivery GOV comes from Tier-1 /
top-50 cities

27%

ATU→MTU conversion: 85M annual users,
only ~23M order monthly

Zomato FY24: food delivery GOV ₹32,224 Cr (+23% YoY), adj. EBITDA ₹912 Cr — profitable, but on a thin ~3–4% contribution margin. The upside is no longer new users; it is existing users ordering more often.

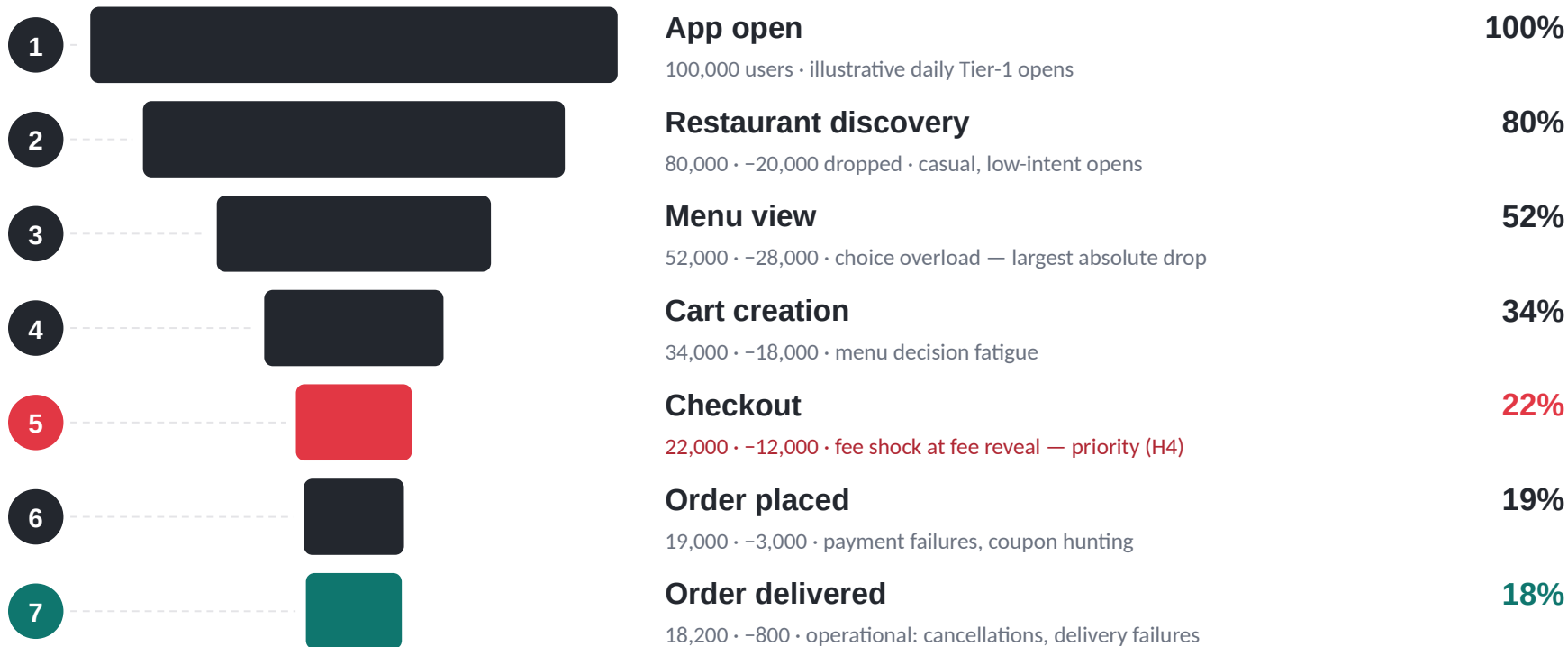
Core problem

Tier-1 growth is constrained by two leaks: (1) funnel leakage — high-intent users who never finish ordering, and (2) early-cohort retention decay — 55% of churn happens within the first 45 days, before a habit forms.

Approach: diagnose both leaks → prioritize ruthlessly → attach a metric to every fix.

Part 1 · The funnel: where users leak

Red = priority leak (H4) · teal = operational stage · illustrative daily volumes



End-to-end: 18% of opens become delivered orders. Illustrative volumes — Zomato's stage-level data is not public; shape anchored to industry benchmarks.

Six drop-offs, six testable hypotheses

Each names the dominant cause (friction / motivation / cost) and a fix in if → then → because form

H#	Stage transition	Dominant cause	Hypothesis (if → then → because)
H1	App open → Discovery	Motivation — low intent, choice overload	If home ranking is occasion- and reorder-aware, app-open → menu-view rises, because relevant options cut decision cost.
H2	Discovery → Menu	Motivation — weak trust cues on cards	If cards surface ETA + reliability upfront, discovery → menu rises, because users self-select faster.
H3	Menu → Cart	Friction — decision load; weak long-tail visuals	If menus lead with bestsellers, combos and better photos, menu → cart rises, because effort falls and appeal rises.
H4	Cart → Checkout	Cost — fee shock at reveal	If the full fee breakdown shows at cart, cart → checkout rises, because there is no last-step price surprise. [PRIORITY]
H5	Checkout → Placed	Friction — payment failures, coupon hunting	If payments are hardened and the best coupon auto-applies, checkout → placed rises, because fewer sessions fail or exit.
H6	Placed → Delivered	Operational — cancellations, delays	If ETA accuracy and proactive delay comms improve, placed → delivered rises, because fewer orders fail. (Operational, not behavioral.)

Why I don't fix the biggest drop

Priority = recoverable intent × fixability × evidence — not the ugliest number

−28,000

Menu view — largest absolute drop

Mixed intent: many were browsing with no real intention to order. Large number, low recoverability.

−12,000

Cart → checkout — the priority leak (H4)

High intent: chose a restaurant, built a cart — then bailed at the fee reveal. Recoverable users, proven fix.

Attack order (next 2–3 quarters)

1

H4 • Fee transparency at cart — Strongest evidence — upfront fee breakdowns lift conversion 8–12% cross-industry; contained engineering scope.

2

H5 • Payment + coupon hardening — Pure friction on the highest-intent users; cheap fix, immediate payoff at checkout → placed.

3

H1 • Occasion-aware discovery — Biggest user pool, but slower: needs ranking iteration and data quality — sequence it after the quick wins.

Part 2 · Cohorts: do they come back?

A perfect funnel is worthless if users don't return — retention in monthly brackets (ordered $\geq 1\times$ in month N)

New vs repeat

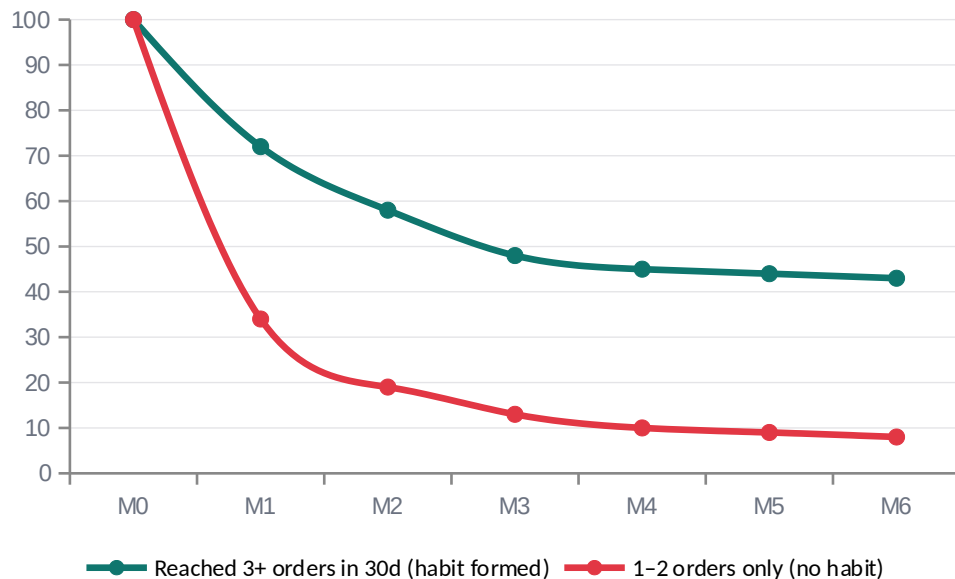
New = first order ≤ 30 days ago; repeat = 2+ orders beyond month 1. The fragile vs the proven.

High vs low frequency

High = 4+ orders/mo; low = ~ 1 /mo but retained — shallow users, not churned ones.

Discount vs full-price

Discount-led = majority of orders carry a coupon. Loyal to the coupon, not the product.



% of cohort still ordering, by month since first order (illustrative, benchmark-anchored)

The habit threshold: 55% of churn ≤ 45 days · 65% of churners ordered only 1-2 $\times$ · reaching 3+ orders in 30 days $\rightarrow$ $\sim 60\%$ higher retention. The curve that flattens is the cohort that crossed the line.

Three cohorts, three retention fixes

Same shape as the funnel: mechanism first, then a testable hypothesis

H7

New users (first 30 days)

Why retention decays: No habit yet — one bad first experience ends it. 55% of churn ≤ 45 days; most churners ordered only once or twice.

Hypothesis: Habit mission: nudge to the 3rd order in 30 days (sequenced free delivery on orders 2-3) $\rightarrow$ D30/D60 rise, because crossing the threshold converts triers into repeaters.

H8

Discount-driven users

Why retention decays: Loyal to the coupon, not to Zomato — churn when discounts taper; retaining via discounts burns margin.

Hypothesis: Value migration: convert to Gold / value bundle (free delivery, priority) $\rightarrow$ retention holds as discounts taper, because loyalty shifts from price to membership value.

H9

Low-frequency users (~1/mo, retained)

Why retention decays: No rhythm — Zomato is the 'once in a while' option. Largest headroom for the North Star; easiest cohort to poach.

Hypothesis: Build rhythm: occasion-timed nudges (weekday lunch, weekend dinner) + light streaks $\rightarrow$ 1 $\rightarrow$ 2-3 orders/mo. Guardrail: high-frequency retention (grow minnows, protect whales).

Part 3 · One North Star, one economic leash

Nine hypotheses only matter if I can tell whether they worked

North Star: delivered food orders per Tier-1 MTU

watched alongside contribution margin (~3–4% of GOV today, management target 4–5%)

Reflects customer value

Only delivered orders count — value received, not carts or app opens. DAU fails this test.

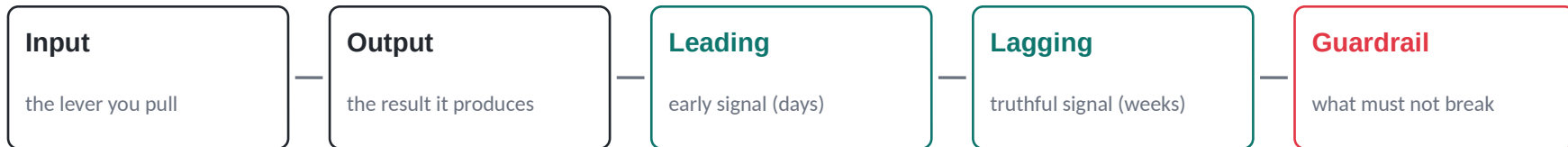
Leading, not lagging

Frequency is habit strength; it moves before revenue does. GOV is the result, not the lever.

Teams can move it

It decomposes into inputs each squad can own — that decomposition is the ladder below.

The ladder — how a fix connects to the star



Two different axes: input/output = position in the causal chain; leading/lagging = timing of the signal. They correlate — they are not synonyms.

Metric ladders I — the priority fixes

Every ladder tops out at the North Star and bottoms out at margin

H4

Fee transparency at cart

Target: +5–10% relative cart→checkout · evidence: 8–12% cross-industry lift; ~50% abandon on late fees

Input	% of Tier-1 sessions shown the full fee breakdown at cart
Output	Cart → checkout conversion rate
Leading	Cart abandonment at the fee-reveal step; fee-related support tickets
Lagging	D30 retention of exposed users; quarterly contribution margin
Guardrail	Margin per order; cancellation & refund rate

H7

New-user habit mission (3-in-30)

Target: ≥10–15% relative cut in first-45-day churn · benchmark: 12–15% retention uplift at 90 days

Input	% of new users enrolled; free delivery applied on orders 2–3
Output	Activation rate — % of new users reaching 3 orders in 30 days
Leading	Order 1→2 conversion within 14 days; median gap between orders 1–2
Lagging	New-cohort D30/D60 retention; ATU→MTU lift (baseline ~27%)
Guardrail	Promo cost per activated user; cancellation & refund rate

Metric ladders II — the cohort bets

Same structure: H8 is judged on margin, H9 is leashed to the whales

H8

Discount → value migration (Gold)

Success: retention holds as discounts taper — with cohort margin rising, not falling

Input	% of discount-led users offered / converted to Gold or value bundle
Output	Repeat-order rate without per-order coupons
Leading	Gold take-rate in cohort; share of full-price orders
Lagging	Cohort D60 retention as discounts taper; cohort contribution margin
Guardrail	Margin per order — the whole point of the fix

H9

Rhythm for low-frequency users

Success: migration from 1 → 2–3 orders/month across the largest Tier-1 population

Input	% of low-frequency users receiving occasion-timed nudges
Output	Monthly orders per low-frequency user (cohort-level North Star)
Leading	Nudge → order conversion; week-over-week orders of nudged users
Lagging	Frequency-migration share (1→2→3/mo); contribution to Tier-1 MTU
Guardrail	High-frequency cohort retention; nudge unsubscribe / annoyance rate

Roadmap: sequence, expected impact, guardrails

Nine hypotheses · four measured · one metric · one economic leash

Now (0–1 qtr)

- H4 fee transparency + H5 payment/coupon hardening — the checkout package
- H7 new-user habit mission (3 orders in 30 days)

Next (1–2 qtrs)

- H8 discount → Gold value migration
- H9 occasion-timed rhythm nudges for low-frequency users

Later (2–3 qtrs)

- H1 occasion-aware discovery ranking
- H6 ETA accuracy + proactive delay recovery (ops-heavy)

Expected impact (benchmark-anchored): +8–12% checkout conversion · ≥ 10 –15% cut in first-45-day churn · 12–15% retention uplift at 90 days · ~8% GMV over 6 months.

Shared guardrail panel — a 'win' that breaks these is not a win

Contribution margin vs baseline (~3–4% → 4–5% target) · cancellation & refund rate · ETA-miss rate & avg delivery time (churned users saw 42 vs 32 min) · pricing-fairness complaint rate · support contacts per order

Appendix A · Assumptions & research gaps

What is illustrative, what is benchmarked, and what only internal data can answer

Assumptions

- Funnel volumes and retention curves are illustrative — engineered to be plausible and to make the prioritization argument visible; they are not Zomato internals.
- Benchmarks (55% churn ≤ 45 days, 3-in-30 threshold, 8–12% fee-transparency lift) come from representative food-delivery and cross-industry studies cited in Appendix B.
- Tier-1 behavior is assumed to track industry averages; margins assumed near disclosed consolidated food-delivery margins (~3–4%).

Research gaps (internal-only data)

- Stage-by-stage funnel conversion for Zomato Tier-1 (app open $\rightarrow$ delivered) is not public.
- Cohort retention curves (D7/D30/D60/D90) and per-cohort contribution margin (Gold vs non-Gold) are internal.
- Tier-1 vs Tier-2+ splits are consolidated in public filings — first step in-role: rebuild this analysis on real event data.

Appendix B · Sources

Full links in the accompanying research document

- Zomato Annual Report FY2023–24 — GOV, revenue, adjusted EBITDA, contribution margin
- Bain & Company × Swiggy, 'How India Eats' (2024) — market size, penetration, frequency outlook
- Investec–Redseer sector analysis — ATUs (~85M), MTUs (~23M), Tier-1 GOV share, ATU→MTU trajectory
- Redseer, 'The Big Bite: Scaling success in India's food services'
- Representative food-delivery churn case study (NextLeap) — 45-day churn window, 3-in-30 habit threshold, 42 vs 32 min delivery gap
- Fee-transparency & checkout research — Rescue Payments (2025); UXitt hidden-fee study; JNRID (UGC-CARE) service-charge paper
- IMARC / Renub — India online food delivery market sizing; TRAI performance indicators 2024 — urban internet base
- Consumer-satisfaction studies of food delivery apps in Indian metros (IJMRSET Bangalore study; Sathyabama University)